

9.2 – Disadvantages

1. High Data Collection Costs

- Gathering sales, customer, pricing and foot traffic data costs a lot.
- The tools and software needed for data collection can be expensive.

2. Time-Consuming Process

- Analyzing product placement and customer behavior takes a lot of time.
- Market conditions change often frequent updates are needed.

3. Dependence on Data Accuracy

- If the data is incorrect or incomplete product placement decisions can be bad.
- The results of Strategic Product Placement Analysis are only as good as the data used.

4. Changing Customer Preferences

- What customers like and how they shop can change quickly.
- A good product placement strategy today may not work in the future.

5. Implementation Costs

- Rearranging shelves and displays can cost labor and resources.
- Making continuous adjustments can increase costs.

6. Limited Consideration of External Factors

- Things like the economy, seasons and competitor actions can affect sales.
- Strategic Product Placement Analysis can't explain all sales changes.

7. Risk of Overemphasis on High-Selling Products

- Retailers might focus on products and hide new or niche products.
- This can limit product variety and innovation.

8. Complexity in Large Stores

- retail stores have many products and categories.

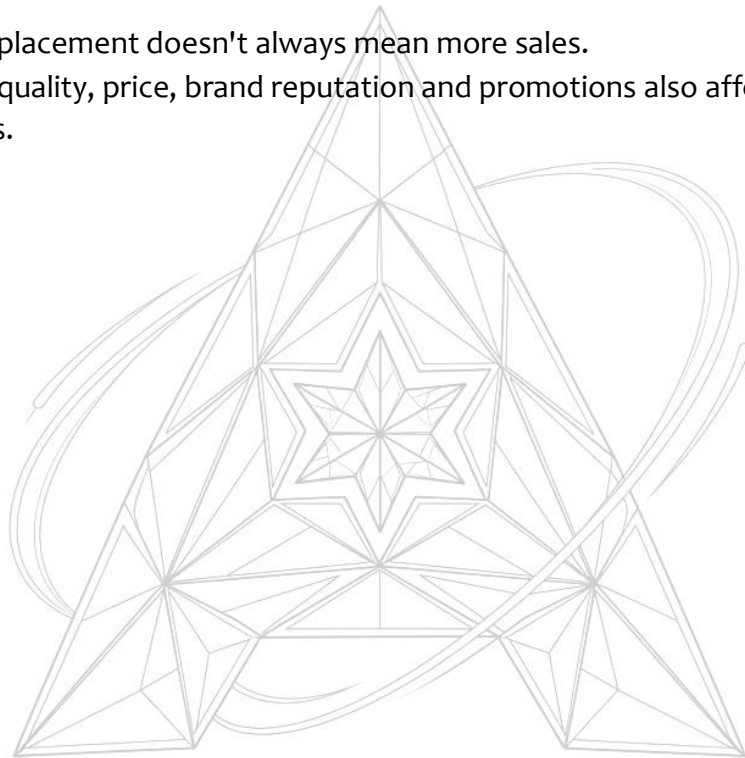
- Managing and analyzing product placement strategies is harder, in stores.

9. Privacy Concerns

- Tracking customers and analyzing foot traffic can raise privacy concerns.
- Businesses must follow data protection rules.

10. No Guarantee of Increased Sales

- product placement doesn't always mean more sales.
- Product quality, price, brand reputation and promotions also affect buying decisions.



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